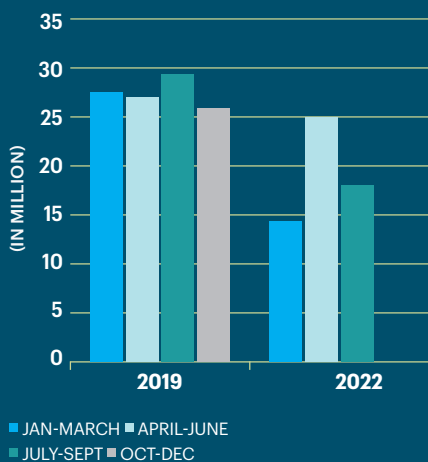


ACTION REPLAY

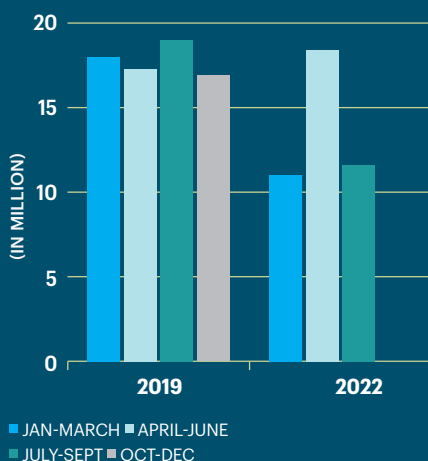
Theatrical footfalls are still at 70-80 per cent of the pre-pandemic levels as of September 2022

PVR



QUARTERLY FOOTFALLS IN MILLION

INOX



QUARTERLY FOOTFALLS IN MILLION
SOURCE: INVESTOR PRESENTATIONS

Pictures and Columbia Pictures—are choosing to focus on profitability. They are ditching plans to burn money on OTT content and sacking employees after a bloodbath at the US capital markets last year. In fact, Warner Bros. has put the launch of its OTT player, HBO Max India, on hold indefinitely. “OTTs are going to rationalise their costs given the kind of uncertainties in the macro environment. They will not pay

the hefty rates they used to pay six months ago,” says Taurani.

PREDICTING A MOVIE’S box-office success is a gamble at best, but without pre-sale of digital and satellite rights, the investment is entirely at risk. “At least for the big films, pre-sale is happening, which is very difficult for the small films. There is no buyer for these films and you can’t blame the producer for not taking a punt on them,” says Sarkar.

One view is that the small-budget films require a more dynamic ticket pricing strategy because the current price differential between a big-budget and small- or medium-budget film is 20-25 per cent. MovieMax’s Kanakia says that audiences complain about the high ticket and food and beverage pricing. “Exhibitors are unable to cut them because of high rentals. It can be done if there is good demand for the films. But the content has not corrected itself post-pandemic.”

PVR Joint MD, Sanjeev Kumar Bijli, says *Drishyam 2*, *Bhool Bhulaiyaa 2*, *Kantara* and *Brahmāstra* were all priced at ₹240-250 per ticket in the normal format across the country and did brisk business. “With *Goodbye*, we experimented with ₹160-tickets across the country. Even at a lower price, people didn’t go. Ticket pricing is not a deterrent. It’s really about the content now.” INOX CEO Tandon says no two films are priced the same. “If we feel it can become a blockbuster, we price it high. If we feel it is average, we price it accordingly.” Cinepolis’ Sampat says: “Operating at the prices that we do, India is still one of the best recoveries in the territories where Cinepolis operates.”

UFO Moviez’s Jaisingh, in fact, says that government-enforced lower ticket prices in the South is

one of the important factors for why this trend is more pronounced in the North. “Smaller Tamil movies like a *Love Today* or a *Thiruchitrambalam* did well, while a *Bhediya* or a *Doctor G* didn’t do well even though the content was good,” he says. Again, the multiplex chains disagree. The South just has a more movie-crazy audience and the prices are going up from the ₹120-150 range even in the Tamil- and Telugu-speaking territories after relaxations in the cap. Bengaluru has one of the highest ticket prices in the country, they add.

The way ahead is to create compelling content distinct from what’s suited for OTT viewing, and experiment with cost-effective strategies such as a limited theatrical release, social media marketing, and by cutting talent costs, experts say. “Talent accounts for 70 per cent of a Hindi film’s production cost. These high-cost models are not feasible when the audience is just not showing up,” says Taurani. Kanakia says MovieMax is discussing revenue-share arrangements and a 10-20 per cent reduction in rentals with the developers of the malls their screens are located in. “If we continue at these high real estate costs, we will not be able to cut ticket pricing,” says Kanakia.

Over the next 12-18 months, Sarkar sees fewer films coming out. “Whatever was under production will come out in 2023. Unless producers have assured visibility of where the film can be sold, they are not doing the small- and medium-budget Hindi films.” But the homogeneity this will unleash is the most worrying—much like what the *saas-bahu* serials did to Hindi and Indian television, says the executive quoted above. “We’ll end up having just one type of movie.” **BT**

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